8. Federal and State Income Taxes

Significant components of the Company's deferred tax liabilities and assets are as follows:

	(in thousands) December 31,	
	2006	2005
Current deferred tax assets:		
Accrued expenses not deductible until paid	**$ 3,837**	$ 3,870
Equity Incentive Plan	**392**	169
Alternative Minimum Tax credit	**379**	--
Revenue recognition	**190**	299
Allowance for doubtful accounts	**37**	41
Total current deferred tax assets	**4,835**	4,379
Current deferred tax liability:		
Prepaid expenses deductible when paid	**(3,043)**	(2,050)
Total current deferred tax liability	**(3,043)**	(2,050)
Net current deferred tax assets	**$ 1,792**	$ 2,329
Noncurrent deferred tax assets:		
Capitalized leases	**$ 186**	$ 208
State tax credits	**--**	114
Non-compete agreement	**173**	199
Total noncurrent deferred tax assets	**359**	521
Noncurrent deferred tax liabilities:		
Tax over book depreciation	**(41,903)**	(34,123)
Other	**(21)**	(18)
Total noncurrent deferred tax liabilities	**(41,924)**	(34,141)
Net deferred tax liabilities	**$ (41,565)**	$ (33,620)

For the year ended December 31, 2006, the Company's effective tax rate decreased approximately 1.4% from that of the prior year primarily due to a reduction in taxable income. The change in the effective tax rate resulted in a reduction of the deferred tax liability and the deferred tax asset amounts of approximately $0.8 million and approximately $0.03 million, respectively.

8. Federal and State Income Taxes (continued)

Significant components of the provision for income taxes are as follows:

	(in thousands) Year Ended December 31,		
	2006	2005	2004
Current:			
Federal	**$ 1,178**	$ 5,678	$ 3,132
State	**244**	1,113	702
Total current	**1,422**	6,791	3,834
Deferred:			
Federal	**7,027**	5,304	2,482
State	**1,456**	1,024	479
Total deferred	**8,483**	6,328	2,961
Total income tax expense	**$ 9,905**	$ 13,119	$ 6,795

A reconciliation between the effective income tax rate and the statutory federal income tax rate is as follows:

	(in thousands) Year Ended December 31,		
	2006	2005	2004
Income tax at statutory federal rate	**$ 7,572**	$ 10,040	$ 4,979
Federal income tax effects of:			
State income taxes	**(615)**	(748)	(414)
Nondeductible meals and entertainment	**1,634**	1,753	1,521
Other	**(494)**	(63)	(472)
Federal income taxes	**8,097**	10,982	5,614
State income taxes	**1,808**	2,137	1,181
Total income tax expense	**$ 9,905**	$ 13,119	$ 6,795
Effective tax rate	**44.3%**	45.7%	47.8%

The effective rates varied from the statutory federal tax rate primarily due to state income taxes and certain non-deductible expenses including a per diem pay structure for drivers. Due to the nondeductible portion of per diem pay to drivers, the Company’s effective tax rate will exceed the statutory rate.